2. Functions in Relation to Shareholders

The company secretary must serve in the best interests of the shareholders. He also must safeguard the shareholders' interest. Under the Companies Act 2013, secretary should act as link between the board of directors and the shareholders and also ensure that the shareholder's rights are violated. He has to arrange the issue allotment letters, call letters, letters of regret, share certificates, share warrants to Shareholders. Besides he has to issue notices and agenda of all meeting of shareholders and also send replies to the inquiries and complaints of the shareholders on behalf of the board of directors.

3. Functions in Relation to Office and Staff

The Secretary is the kingpin of the whole corporate machinery. He is responsible for smooth functioning of the office work. He exercises an overall supervision, control and co-ordination of all clerical activities in the office.

28.05 Powers and Rights of Company Secretary

A Company secretary is a high level officer. He enjoys certain rights and power as per contract made with the company, which are as follows:

a) **Supervision and Control:** As a head of the office, a company secretary has the rights to supervise, direct and control all office activities of subordinate offices.

b) **Signing authority:** Being a principal officer, a company secretary can sign contracts, proceedings of the company meeting, files and documents on behalf of the company.

c) **Exercising power:** He has the right to exercise powers as granted by board of directors.

d) **Issuing testimonial:** A company secretary can issue testimonials to employees on behalf of the company.

e) **Claiming salary and damages:** As per contract, he has the right to claim his salary and other allowances. He can also take legal action against the company if there is any breach of contract. Before his services are terminated, he can demand a reasonable notice and claim damages for his wrongful dismissal.

f) **Preferential creditor:** During winding up of a company, company secretary can claim his legal dues on a preferential basis.

g) **Attending meeting:** He has the right to be physically present in the meetings of the shareholders and board of directors.

28.06 Removal / Dismissal of Company Secretary

In accordance with the law governing relationship between a master and servant, company secretary may be dismissed like an ordinary servant of a company. The Board of directors of a company has absolute discretion to remove a company secretary or to terminate his services at any time for any reason or without any reason. Generally secretary may be terminated under the following situations:

1. when his term of appointment has expired;
2. when he is given a proper notice of dismissal as per the terms of agreement of employment;
3. when he makes a secret profit;
4. when he misconducts himself ;
5. where he is found to be guilty of moral turpitude, negligence, disobedience, incompetence.
6. where he suffers from permanent mental and physical disabilities.

28.07 Company Meetings

A company meeting must be convened and held in perfect compliance with the various provisions of the Act and the rules framed thereunder. It is essential that the business dealt with at the meetings, should be validly transacted and not liable to be questioned later due to any irregularity.

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